

OLYMPIA CAPITAL HOLDINGS LIMITED  
ANNUAL REPORT  
AND  
FINANCIAL STATEMENTS  
FOR THE YEAR ENDED 28 FEBRUARY 2024

PSK ASSOCIATES  
Certified Public Accountants of Kenya

OLYMPIA CAPITAL HOLDINGS LIMITED  
ANNUAL REPORT AND FINANCIAL STATEMENTS  
FOR THE YEAR ENDED 28 FEBRUARY 2024

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OLYMPIA CAPITAL HOLDINGS LIMITED  
COMPANY INFORMATION  
FOR THE YEAR ENDED 28 FEBRUARY 2024

BOARD OF DIRECTORS

|                           |   |                                      |
|---------------------------|---|--------------------------------------|
| Karen Enterprises Limited | - | Chairman (Alt Dr. Christopher Obura) |
| Mr. Patrick Wamae         | - | Non Executive Director               |
| Mr. Alex Kimani           | - | Executive Director                   |
| Mr Kibuga Kinyua Kariithi | - | Non Executive Director               |

REGISTERED OFFICE AND PRINCIPAL PLACE OF BUSINESS

Olympia Capital Holdings Limited  
Avon House, 2nd Floor  
Enterprise Road  
P.O. Box 30102 - 00100  
Nairobi

COMPANY SECRETARY

Dennis Aroka  
ESR Kenya LLP  
Kalamu House, Grevillea Grove  
P.O. Box 14077 - 00800  
Nairobi, Kenya

COMPANY REGISTRAR

C&R Group  
IKM Place, Tower B  
1st floor, 5th Ngong Avenue, Off Bishops Road  
P.O. Box 8484 - 00100  
Nairobi, Kenya

BANKERS

NCBA Bank Kenya Limited  
NCBA House Branch  
P.O. Box 44599-00100  
Nairobi, Kenya

Guaranty Trust Bank Kenya Limited  
Industrial Area Branch  
P.O. Box 18647 - 00500  
Nairobi, Kenya

OLYMPIA CAPITAL HOLDINGS LIMITED  
COMPANY INFORMATION (Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

SUBSIDIARIES

Avon Rubber Company (Kenya) Limited  
Avon House, Enterprise Road  
P.O. Box 18270 – 00100  
Nairobi, Kenya

Olympia Capital Corporation Limited  
Plot 51, 52 & 53 Mogoditshane  
P.O. Box 2166  
Gaborone, Botswana

INDEPENDENT AUDITORS

PSK Associates  
Certified Public Accountants of Kenya  
P.O. Box 8566-00100  
Nairobi

OLYMPIA CAPITAL HOLDINGS LIMITED  
STATEMENT OF CORPORATE GOVERNANCE  
FOR THE YEAR ENDED 28 FEBRUARY 2024

Corporate governance deals with the manner in which companies are led and managed, the role of the Board of Directors and a framework of internal controls. The Board of Olympia Capital Holdings Limited is committed to upholding high standards of Corporate Governance. The Board is accountable to the company's shareholders for good governance and the statement set out below illustrates how the principles identified in the Capital Markets Act – Corporate Governance Guidelines, are applied by the group.

#### BOARD OF DIRECTORS

Composition of the Board is set out on page 1.

All non-executive directors are independent of the management. All directors are subject to periodic retirement and re-appointment in accordance with the company's Articles of Association.

All the directors have access to the Company Secretary who is responsible for ensuring that Board Procedures are followed and that applicable laws and regulations are complied with. The directors' responsibilities are set out in the Statement of Directors' Responsibilities on page 7.

The board is of the opinion that there is a balance between independent executive and non-executive directors as required by clause 2.1.4 of the Guidelines on Corporate Governance Practices for Public Listed Companies in Kenya.

The Board meets regularly, at least four times a year, and has a formal schedule of matters reserved for it. The directors receive appropriate and timely information so that they can maintain full and effective control over strategic, financial operational, compliance and governance issues.

The Board has continued to adopt the best governance practices outlined in the Capital Markets Act – Corporate Governance Guidelines as part of its obligation. The Board members have wide range of skills and experience and each member brings an independent judgment and considerable knowledge to the Board discussions that ensures effective decision making. The Board is responsible for the long-term growth and profitability of the Olympia Group. The responsibilities of the Board members are outlined in the Board Charter. The Board is also assisted in the discharge of its responsibilities by the various Sub Committees.

#### DELEGATION OF AUTHORITY

##### BOARD SUB COMMITTEES

The Board has three Sub Committees with specific delegated authorities. These are Board Audit Committee, Board Investment Committee, and Board Staff Nominations and Remuneration Committee. The Board Sub Committees assist the Board in discharging its responsibilities. These Sub Committees have clear defined roles and terms of reference and charters that have been approved by the Board. The Committees are chaired by non-executive directors.

##### BOARD AUDIT COMMITTEE

The committee acts as the liaison between the External Auditor, the Board and the Management. The committee strengthens the objectivity and independence of the auditor and acts on behalf of the Board in carrying out its responsibilities to the members and shareholders.

OLYMPIA CAPITAL HOLDINGS LIMITED  
STATEMENT OF CORPORATE GOVERNANCE (Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

BOARD INVESTMENT COMMITTEE

The main responsibilities of this committee are to set limits for Management in capital expenditure, review the budgets, review the companies' procurement and disposal policies and make recommendations on all new investments proposals.

BOARD STAFF NOMINATIONS AND REMUNERATION COMMITTEE

The main responsibilities of this committee are to recommend to the Board on the recruitment, termination, promotion and other significant issues related to executive directors and general managers, review the adequacy of human resources policies and to monitor disputes and appeal procedures in the company.

GOING CONCERN

The Board confirms that it is satisfied that the company has adequate resources to continue in business for the foreseeable future. For this reason, the company continues to adopt the going concern basis when preparing the financial statements.

COMMUNICATION WITH SHAREHOLDERS

The company is committed to equitable treatment of its shareholders including the non-controlling and foreign shareholders and ensures that all its shareholders receive full and timely information about its performance through distribution of the annual report and financial statements and half year interim financial report and through compliance with the relevant continuing obligations under the Capital Markets Authority Act. The company's results are advertised in the press and released to the Nairobi Securities Exchange within the prescribed period at each half-year and year end.

MAJOR SHAREHOLDERS

| <u>NAME</u>                       | <u>SHARES HELD</u> | <u>%</u> |
|-----------------------------------|--------------------|----------|
| Dunlop Properties Limited         | 10,481,802         | 26%      |
| Paul Wanderi Ndungu               | 4,796,600          | 12%      |
| Karen Enterprises Limited         | 3,636,152          | 9%       |
| First Ten Limited                 | 2,359,936          | 6%       |
| Asteria Company Limited           | 1,048,500          | 3%       |
| Joel Kamau Kibe                   | 949,500            | 2%       |
| Scottlink Limited                 | 885,269            | 2%       |
| Michael Maina Matu                | 786,277            | 2%       |
| Eliud Matu Wamae                  | 619,088            | 2%       |
| Mobicom Kenya Limited             | 449,600            | 1%       |
| Croxley Properties Ltd A/c 693448 | 400,000            | 1%       |
| Others                            | 13,587,276         | 34%      |
| Total                             | 40,000,000         | 100%     |

OLYMPIA CAPITAL HOLDINGS LIMITED  
STATEMENT OF CORPORATE GOVERNANCE (Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

DIRECTORS' SHAREHOLDING

| <u>NAME</u>               | <u>SHARES HELD</u> | <u>%</u>  |
|---------------------------|--------------------|-----------|
| Karen Enterprises Limited | <u>3,636,152</u>   | <u>9%</u> |

DISTRIBUTION OF SHAREHOLDING

| <u>VOLUME:</u>      | <u>SHARES HELD</u> | <u>%</u>    | <u>SHAREHOLDERS</u> |
|---------------------|--------------------|-------------|---------------------|
| 1 – 500             | 328,702            | 1%          | 1,471               |
| 501 – 5,000         | 2,484,975          | 6%          | 1,323               |
| 5,001 – 10,000      | 1,452,747          | 4%          | 186                 |
| 10,001 – 100,000    | 5,633,281          | 14%         | 210                 |
| 100,001 – 1,000,000 | 7,777,305          | 19%         | 25                  |
| 1,000,001 +         | <u>22,322,990</u>  | <u>56%</u>  | <u>5</u>            |
| Total               | <u>40,000,000</u>  | <u>100%</u> | <u>3,220</u>        |

OLYMPIA CAPITAL HOLDINGS LIMITED  
REPORT OF THE DIRECTORS  
FOR THE YEAR ENDED 28 FEBRUARY 2024

The directors submit their report together with the audited consolidated financial statements for the year ended 28 February 2024 which disclose the state of affairs of the company and the group.

PRINCIPAL ACTIVITY

The company is an investment holding company listed in the Nairobi Securities Exchange. Its main investments are in companies dealing in the manufacture and sale of products used in construction industry such as floor tiles, adhesives, u-PVC, windows and door frames, cleaning chemicals as well as real estate.

RESULTS

The results for the year are set out on page 11.

DIVIDENDS

The directors do not recommend the payment of dividend in respect of the year ended 28 February 2024 (2023: nil).

RESERVES

The reserves of the company are set out on page 15.

FINANCIAL STATEMENTS

As at the date of this report, the directors were not aware of any circumstances which would have rendered the values attributed to the assets and liabilities in the financial statements of the company misleading.

DIRECTORS

The directors who held office during the year and to the date of this report are listed on page 1.

AUDITORS

PSK Associates continue in office in accordance with Section 717 (2) of the Kenyan Companies Act (No. 17 of 2015).

By order of the board



Company secretary/ Director

18<sup>th</sup> July ..... 2024



OLYMPIA CAPITAL HOLDINGS LIMITED  
STATEMENT OF DIRECTORS' RESPONSIBILITIES  
ON THE FINANCIAL STATEMENTS  
FOR THE YEAR ENDED 28 FEBRUARY 2024

The Kenyan Companies Act, 2015 requires the directors to prepare financial statements for each financial year, which give a true and fair view of the state of affairs of the company as at the end of the financial year and of its profit or loss for that year. It also requires the directors to ensure the company maintains proper accounting records that are sufficient to show and explain the transactions of the company and disclose, with reasonable accuracy, the financial position of the company. The directors are also responsible for safeguarding the assets of the company and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

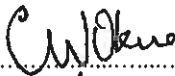
The directors accept responsibility for the preparation and presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. They also accept responsibility for:

- i) designing, implementing and maintaining such internal control as they determine necessary to enable the presentation of financial statements that are free of material misstatement, whether due to fraud or error;
- ii) selecting suitable accounting policies and applying them consistently; and
- iii) making accounting estimates and judgements that are reasonable in the circumstances.

Having made an assessment of the company's ability to continue as a going concern, the directors are not aware of any material uncertainties related to events or conditions that may cast doubt upon the company's ability to continue as a going concern.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

Approved by the board of directors on 18<sup>th</sup> July ..... 2024 and signed on its behalf by:

  
.....  
Director

  
.....  
Director

REPORT OF THE INDEPENDENT AUDITORS  
TO THE MEMBERS OF  
OLYMPIA CAPITAL HOLDINGS LIMITED

*Opinion*

We have audited the accompanying financial statements of Olympia Capital Holdings Limited (the company) and the consolidated financial statements of the company and its subsidiaries (together referred to as the group), set out on pages 11 to 44, which each comprise a statement of financial position as at 28 February 2024, the statement of comprehensive income, statements of changes in equity and statement of cash flows for the year then ended, and notes, including a summary of significant accounting policies.

In our opinion, the financial statements give a true and fair view of the financial position of the group and of the company as at 28 February 2024 and of their financial performance and cash flows for the year then ended in accordance with the International Financial Reporting Standard and the requirements of the Kenyan Companies Act, 2015.

*Basis of opinion*

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the financial statements section of our report.

We are independent of the group in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code). We have fulfilled our other ethical responsibilities in accordance with the IESBA Code together with the ethical requirements that are relevant to our audit of the financial statements in Kenya, and we have fulfilled our ethical responsibilities in accordance with these requirements and the IESBA Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

*Other information*

The directors are responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report in this regard.

### *Directors' responsibilities for the financial statements*

The directors are responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015 and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

### *Auditor's responsibilities for the audit of the financial statements*

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free of material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

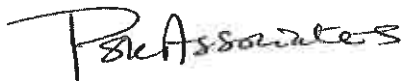
We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other legal requirements

As required by the Kenyan Companies Act, 2015 we report to you, based on our audit, that:

In our opinion the information given in the report of the directors on page 6 is consistent with the financial statements.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Paulino Ruthiri: P/No - 1816.

A handwritten signature in black ink that reads 'Paulino Ruthiri'.

For and on behalf of PSK Associates  
Certified Public Accountants of Kenya  
Nairobi, Kenya

18th July ..... 2024

OLYMPIA CAPITAL HOLDINGS LIMITED  
CONSOLIDATED AND COMPANY STATEMENT OF PROFIT AND LOSS  
FOR THE YEAR ENDED 28 FEBRUARY 2024

|                                     |      | Group            |                  | Company         |                 |
|-------------------------------------|------|------------------|------------------|-----------------|-----------------|
|                                     |      | 2024             | 2023             | 2024            | 2023            |
|                                     |      | KShs             | KShs             | KShs            | KShs            |
|                                     | Note | 000's            | 000's            | 000's           | 000's           |
| REVENUE                             | 3    | 545,891          | 494,463          | -               | -               |
| COST OF SALES                       | 4    | <u>(373,953)</u> | <u>(340,992)</u> | <u>-</u>        | <u>-</u>        |
| GROSS PROFIT                        |      | 171,938          | 153,471          | -               | -               |
| OTHER INCOME                        | 5    | <u>104,676</u>   | <u>104,817</u>   | <u>26,742</u>   | <u>30,022</u>   |
| TOTAL OPERATING INCOME              |      | 276,614          | 258,288          | 26,742          | 30,022          |
| EXPENSES:                           |      |                  |                  |                 |                 |
| OPERATING COSTS                     | 6    | <u>(213,377)</u> | <u>(200,610)</u> | <u>(21,316)</u> | <u>(13,304)</u> |
| OPERATING PROFIT                    |      | 63,237           | 57,678           | 5,426           | 16,718          |
| FINANCE COSTS                       | 7    | <u>(8,526)</u>   | <u>(4,654)</u>   | <u>(153)</u>    | <u>(44)</u>     |
| PROFIT BEFORE TAXATION              | 8    | 54,711           | 53,024           | 5,273           | 16,674          |
| TAXATION                            | 26   | <u>(19,497)</u>  | <u>(17,710)</u>  | <u>-</u>        | <u>-</u>        |
| PROFIT FOR THE YEAR                 |      | <u>35,214</u>    | <u>35,314</u>    | <u>5,273</u>    | <u>16,674</u>   |
| EARNINGS ATTRIBUTABLE TO:           |      |                  |                  |                 |                 |
| Owners of the parent company        |      | 19,672           | 22,018           | 5,273           | 16,674          |
| Non-controlling interest            |      | <u>15,542</u>    | <u>13,296</u>    | <u>-</u>        | <u>-</u>        |
|                                     |      | <u>35,214</u>    | <u>35,314</u>    | <u>5,273</u>    | <u>16,674</u>   |
| EARNINGS PER SHARE ATTRIBUTABLE TO: |      |                  |                  |                 |                 |
| Owners of the parent company        | 13   | <u>0.49</u>      | <u>0.55</u>      | <u>0.13</u>     | <u>0.42</u>     |
| Number of shares issued             |      | <u>40,000</u>    | <u>40,000</u>    | <u>40,000</u>   | <u>40,000</u>   |

OLYMPIA CAPITAL HOLDINGS LIMITED  
CONSOLIDATED AND COMPANY STATEMENT OF COMPREHENSIVE INCOME  
FOR THE YEAR ENDED 28 FEBRUARY 2024

|                                                | Group         |                | Company      |               |
|------------------------------------------------|---------------|----------------|--------------|---------------|
|                                                | 2024          | 2023           | 2024         | 2023          |
|                                                | KShs          | KShs           | KShs         | KShs          |
|                                                | 000's         | 000's          | 000's        | 000's         |
| Profit for the year                            | 35,214        | 35,314         | 5,273        | 16,674        |
| Other comprehensive income:                    |               |                |              |               |
| Exchange differences on foreign operations     | 10,460        | 22,631         | -            | -             |
| Gains on property valuation                    | -             | 43,972         | -            | -             |
| <b>TOTAL COMPREHENSIVE INCOME</b>              | <b>45,674</b> | <b>101,917</b> | <b>5,273</b> | <b>16,674</b> |
| ATTRIBUTABLE TO:                               |               |                |              |               |
| Owners of the parent company                   | 27,225        | 61,313         | 5,273        | 16,674        |
| Non-controlling interest                       | 18,449        | 40,604         | -            | -             |
| <b>TOTAL COMPREHENSIVE INCOME FOR THE YEAR</b> | <b>45,674</b> | <b>101,917</b> | <b>5,273</b> | <b>16,674</b> |
| EARNINGS PER SHARE ATTRIBUTABLE TO:            |               |                |              |               |
| Owners of the parent company                   | 0.68          | 1.53           | 0.13         | 0.42          |
| Number of shares issued                        | 40,000        | 40,000         | 40,000       | 40,000        |

OLYMPIA CAPITAL HOLDINGS LIMITED  
CONSOLIDATED AND COMPANY STATEMENT OF FINANCIAL POSITION  
AS AT 28 FEBRUARY 2024

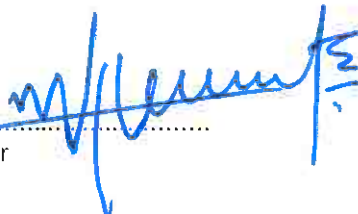
|                                      |        | Group            |                  | Company        |                |
|--------------------------------------|--------|------------------|------------------|----------------|----------------|
|                                      |        | 2024             | 2023             | 2024           | 2023           |
|                                      | Note   | KShs             | KShs             | KShs           | KShs           |
|                                      |        | 000's            | 000's            | 000's          | 000's          |
| ASSETS                               |        |                  |                  |                |                |
| NON CURRENT ASSETS                   |        |                  |                  |                |                |
| Property, plant and equipment        | 9      | 699,388          | 792,682          | 46,646         | 48,035         |
| Investment property                  | 10     | 142,490          | 137,490          | -              | -              |
| Prepaid operating lease rentals      | 11     | 19,012           | 19,747           | -              | -              |
| Intangible assets                    | 12     | 93,594           | 93,594           | -              | -              |
| Investments in subsidiaries          | 14     | -                | -                | 460,350        | 445,269        |
| Non-current assets held for sale     | 15     | 4,735            | 4,735            | -              | -              |
| Available-for-sale-financial assets  | 16     | 49,700           | 49,700           | 49,700         | 49,700         |
| Deferred Tax                         | 26     | -                | 18,884           | -              | 2,983          |
| Due from related parties             | 17 (a) | 82,344           | 83,344           | 61,383         | 72,263         |
|                                      |        | <u>1,091,263</u> | <u>1,200,176</u> | <u>618,079</u> | <u>618,250</u> |
| CURRENT ASSETS                       |        |                  |                  |                |                |
| Due from related companies - current | 17 (a) | 12,255           | 9,253            | 3,000          | 3,000          |
| Bank and cash balances               | 18     | 57,074           | 73,413           | 2,700          | 3,221          |
| Trade and other receivables          | 19     | 111,929          | 114,153          | 6,280          | 4,881          |
| Other financial assets               | 20     | 4,567            | 2,702            | -              | -              |
| Inventories                          | 21     | 164,278          | 139,392          | -              | -              |
| Tax recoverable                      | 26     | -                | 6,431            | -              | -              |
|                                      |        | <u>350,103</u>   | <u>345,344</u>   | <u>11,980</u>  | <u>11,102</u>  |
| TOTAL ASSETS                         |        | <u>1,441,366</u> | <u>1,545,520</u> | <u>630,060</u> | <u>629,352</u> |
| EQUITY AND LIABILITIES               |        |                  |                  |                |                |
| Attributable to parent owners:       |        |                  |                  |                |                |
| Share capital                        | 22 (a) | 200,000          | 200,000          | 200,000        | 200,000        |
| Share premium                        | 22 (b) | 255,985          | 255,985          | 255,985        | 255,985        |
| Translation reserve                  |        | (34,060)         | (39,813)         | -              | -              |
| Revaluation reserves                 |        | 305,232          | 356,704          | 67,405         | 67,405         |
| Retained earnings                    |        | 149,460          | 146,503          | 51,217         | 48,927         |
|                                      |        | <u>876,617</u>   | <u>919,379</u>   | <u>574,607</u> | <u>572,317</u> |
| Non-controlling interest             |        | <u>431,420</u>   | <u>445,665</u>   | <u>-</u>       | <u>-</u>       |
|                                      |        | <u>1,308,037</u> | <u>1,365,044</u> | <u>574,607</u> | <u>572,317</u> |

OLYMPIA CAPITAL HOLDINGS LIMITED  
CONSOLIDATED AND COMPANY STATEMENT OF FINANCIAL POSITION (Continued)  
AS AT 28 FEBRUARY 2024

|                                  |        | Group            |                  | Company        |                |
|----------------------------------|--------|------------------|------------------|----------------|----------------|
|                                  | Note   | 2024             | 2023             | 2024           | 2023           |
|                                  |        | KShs             | KShs             | KShs           | KShs           |
|                                  |        | 000's            | 000's            | 000's          | 000's          |
| NON-CURRENT LIABILITIES          |        |                  |                  |                |                |
| Due to related parties           | 17 (b) | 330              | 330              | 40,510         | 42,098         |
| Deferred tax liability           | 26     | 35,378           | 34,499           | -              | -              |
| Borrowings                       | 23     | 8,679            | 13,179           | -              | -              |
|                                  |        | <u>44,387</u>    | <u>48,008</u>    | <u>40,510</u>  | <u>42,098</u>  |
| CURRENT LIABILITIES              |        |                  |                  |                |                |
| Due to related parties - current | 17 (b) | 6,814            | 8,841            | 5,634          | 5,645          |
| Trade and other payables         | 24     | 46,601           | 88,357           | 4,084          | 4,068          |
| Borrowings - current             | 23     | 23,072           | 24,434           | -              | -              |
| Dividends payable                | 25     | 10,856           | 10,836           | 5,224          | 5,224          |
| Tax payable                      | 26     | 1,599            | -                | -              | -              |
|                                  |        | <u>88,942</u>    | <u>132,468</u>   | <u>14,942</u>  | <u>14,937</u>  |
| TOTAL EQUITY AND LIABILITIES     |        | <u>1,441,366</u> | <u>1,545,520</u> | <u>630,059</u> | <u>629,352</u> |

The financial statements were approved by the Board of Directors on 18<sup>th</sup> July 2024 and signed on its behalf by:

  
.....  
Director

  
.....  
Director



OLYMPIA CAPITAL HOLDINGS LIMITED  
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY  
FOR THE YEAR ENDED 28 FEBRUARY 2024

|                                         | Share capital<br>KShs<br>000's | Revaluation reserves<br>KShs<br>000's | Translation reserve<br>KShs<br>000's | Share Premium<br>KShs<br>000's | Retained earnings<br>KShs<br>000's | Non-controlling interest<br>KShs<br>000's | Total<br>KShs<br>000's |
|-----------------------------------------|--------------------------------|---------------------------------------|--------------------------------------|--------------------------------|------------------------------------|-------------------------------------------|------------------------|
| YEAR ENDED 28 FEBRUARY 2023:            |                                |                                       |                                      |                                |                                    |                                           |                        |
| As at 1 March 2022                      | 200,000                        | 330,760                               | (53,165)                             | 255,985                        | 110,346                            | 421,271                                   | 1,265,197              |
| Prior year adjustments                  | -                              | -                                     | -                                    | -                              | 14,139                             | -                                         | 14,139                 |
| As re-stated                            | 200,000                        | 330,760                               | (53,165)                             | 255,985                        | 124,485                            | 421,271                                   | 1,279,336              |
| Dividends - non-controlling interest    | -                              | -                                     | -                                    | -                              | -                                  | (16,209)                                  | (16,209)               |
| Total comprehensive income for the year | -                              | 25,944                                | 13,352                               | -                              | 22,018                             | 40,603                                    | 101,917                |
| As at 28 February 2023                  | 200,000                        | 356,704                               | (39,813)                             | 255,985                        | 146,503                            | 445,665                                   | 1,365,044              |
| YEAR ENDED 28 FEBRUARY 2024:            |                                |                                       |                                      |                                |                                    |                                           |                        |
| As at 1 March 2023                      | 200,000                        | 356,704                               | (39,813)                             | 255,985                        | 146,503                            | 445,665                                   | 1,365,044              |
| Prior year adjustments                  | -                              | -                                     | -                                    | -                              | (2,983)                            | -                                         | (2,983)                |
| As re-stated                            | 200,000                        | 356,704                               | (39,813)                             | 255,985                        | 143,520                            | 445,665                                   | 1,362,061              |
| Disposal of subsidiary - note 14        | -                              | (51,472)                              | -                                    | -                              | (13,732)                           | (29,294)                                  | (94,498)               |
| Dividends - non-controlling interest    | -                              | -                                     | -                                    | -                              | -                                  | (5,200)                                   | (5,200)                |
| Total comprehensive income for the year | -                              | -                                     | 5,753                                | -                              | 19,672                             | 20,249                                    | 45,674                 |
| As at 28 February 2024                  | 200,000                        | 305,232                               | (34,060)                             | 255,985                        | 149,460                            | 431,420                                   | 1,308,037              |

OLYMPIA CAPITAL HOLDINGS LIMITED  
COMPANY STATEMENT OF CHANGES IN EQUITY  
FOR THE YEAR ENDED 28 FEBRUARY 2024

YEAR ENDED 28 FEBRUARY 2023:

|                        |         |        |         |        |         |
|------------------------|---------|--------|---------|--------|---------|
| As at 1 March 2022     | 200,000 | 67,405 | 255,985 | 18,114 | 541,504 |
| Prior year adjustment  | -       | -      | -       | 14,139 | 14,139  |
| As re-stated           | 200,000 | 67,405 | 255,985 | 32,253 | 555,643 |
| Profit for the year    | -       | -      | -       | 16,674 | 16,674  |
| As at 28 February 2023 | 200,000 | 67,405 | 255,985 | 48,927 | 572,317 |

YEAR ENDED 28 FEBRUARY 2024:

|                        |         |        |         |         |         |
|------------------------|---------|--------|---------|---------|---------|
| As at 1 March 2023     | 200,000 | 67,405 | 255,985 | 48,927  | 572,317 |
| Prior year adjustment  | -       | -      | -       | (2,983) | (2,983) |
| As re-stated           | 200,000 | 67,405 | 255,985 | 45,944  | 569,334 |
| Profit for the year    | -       | -      | -       | 5,273   | 5,273   |
| As at 28 February 2024 | 200,000 | 67,405 | 255,985 | 51,217  | 574,607 |

OLYMPIA CAPITAL HOLDINGS LIMITED  
CONSOLIDATED AND COMPANY STATEMENT OF CASH FLOWS  
FOR THE YEAR ENDED 28 FEBRUARY 2024

|                                                               |      | Group    |          | Company  |         |
|---------------------------------------------------------------|------|----------|----------|----------|---------|
|                                                               |      | 2024     | 2023     | 2024     | 2023    |
|                                                               |      | KShs     | KShs     | KShs     | KShs    |
|                                                               | Note | 000's    | 000's    | 000's    | 000's   |
| <b>CASH FLOWS FROM OPERATING ACTIVITIES:</b>                  |      |          |          |          |         |
| Profit before tax                                             | 8    | 54,711   | 53,024   | 5,273    | 16,674  |
| Adjustments for:                                              |      |          |          |          |         |
| Depreciation                                                  | 9    | 22,807   | 23,102   | 55       | 4       |
| Finance costs                                                 | 7    | 2,917    | 2,293    | -        | -       |
| Fair value gain                                               | 10   | (5,000)  | (6,784)  | -        | -       |
| Operating profit before working capital changes               |      | 75,435   | 71,635   | 5,328    | 16,678  |
| Increase in trade and other receivables                       | 19   | 2,225    | (20,573) | (1,399)  | (395)   |
| (Increase)/ decrease in inventories                           | 21   | (24,886) | 11,991   | -        | -       |
| Decrease in trade and other payables                          | 15   | (41,757) | (40,940) | 16       | (2,113) |
| Cash flows generated from operating activities                |      | 11,017   | 22,113   | 3,945    | 14,170  |
| Finance costs                                                 | 7    | (2,917)  | (2,293)  | -        | -       |
| Tax paid                                                      | 18   | (10,588) | (8,630)  | -        | -       |
| Net cash flows (used in)/ generated from operating activities |      | (2,488)  | 11,190   | 3,945    | 14,170  |
| <b>CASH FLOWS FROM INVESTING ACTIVITIES:</b>                  |      |          |          |          |         |
| Purchase of equipment                                         | 9    | (5,062)  | (14,556) | (350)    | (1,684) |
| Investment in subsidiary                                      | 14   | -        | -        | (13,398) | -       |
| Disposal of equipment                                         | 9    | -        | 985      | -        | -       |
| Dividends paid                                                | 25   | (5,179)  | (10,597) | -        | -       |
| Purchase of financial assets                                  | 20   | (1,865)  | (1,156)  | -        | -       |
| Net cash flows used in investing activities                   |      | (12,106) | (25,324) | (13,748) | (1,684) |
| <b>CASH FLOWS FROM FINANCING ACTIVITIES:</b>                  |      |          |          |          |         |
| Net movement in borrowings                                    | 23   | (7,874)  | (2,859)  | -        | -       |
| Related parties                                               | 10   | (6,343)  | 1,360    | 9,281    | (9,932) |
| Net cash flows used in financing activities                   |      | (14,217) | (1,499)  | 9,281    | (9,932) |
| Net changes in cash and cash equivalents                      |      | (28,811) | (15,633) | (521)    | 2,555   |
| Effect of foreign exchange changes                            |      | 10,460   | 22,631   | -        | -       |
| Cash and cash equivalents at the beginning of the year        |      | 59,253   | 52,255   | 3,221    | 666     |
| Cash and cash equivalents at the end of the year              | 18   | 40,902   | 59,253   | 2,700    | 3,221   |

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS  
FOR THE YEAR ENDED 28 FEBRUARY 2024

1. GENERAL INFORMATION

Olympia Capital Holdings Limited is incorporated under the Kenyan Companies Act, and domiciled in Kenya. The address of its registered office and principal place of business is stated on page 1. The company's principal activity is investment and its shares are listed on the Nairobi Securities Exchange.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies adopted in the preparation of these financial statements are set out below;

a) Basis of preparation

The financial statements of the Company, its subsidiaries and interests in associates (together, the Group) are prepared in compliance with International Financial Reporting Standards (IFRS) and interpretations issued by the IFRS Interpretations Committee (IFRS IC) applicable for companies reporting under IFRS. The financial statements comply with IFRS as issued by the International Accounting Standards Board (IASB). The financial statements are presented in Kenyan Shillings, rounded to the nearest thousand (KShs. 000's).

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the company's accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the financial statements, are disclosed in Note 3.

For Kenyan Companies Act reporting purposes, the balance sheet is represented by the statement of financial position and the profit and loss account by the statement of comprehensive income, in these financial statements.

b) Changes in accounting policy and disclosures

(i) New and amended standards adopted by the company

The following amendments and interpretations apply for the first time in 2023, but do not have an impact on the financial statements of the Company.

|                                                                                                       | Effective Date:<br>Period beginning<br>on or after |
|-------------------------------------------------------------------------------------------------------|----------------------------------------------------|
| IFRS 17 Insurance contracts                                                                           | 1 January 2023                                     |
| Amendments to IAS 1 Disclosure of Accounting policies                                                 | 1 January 2023                                     |
| Amendments to IAS 12 Deferred Tax related to Assets and Liabilities arising from a Single Transaction | 1 January 2023                                     |
| Amendments to IAS 8 Definition of Accounting Estimates                                                | 1 January 2023                                     |

The management is of the opinion that the new standards and amendments effective during the period will not have any material effect on the financial statements of the company.

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS (Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

b) Changes in accounting policy and disclosures (Continued)

(ii) New standards and interpretations that are not yet effective

Up to the date of issuance of the company's financial statements, there are several standards and interpretations that are issued, but not yet effective. The company intends to adopt these standards, if applicable, when they become effective or by early adoption where necessary. The Company did not early adopt any new standards or amendment during the year.

Effective Date:  
Period beginning on  
or after

Amendments to IFRS 10 and IAS 28: Sale or Contribution of Assets  
between an Investor and its Associate or indefinitely Joint Venture

Effective date  
deferred indefinitely

The management is of the opinion that the new standards and amendments that have not yet become effective will not have any material impact on the financial statements of the company.

c) Revenue recognition

Revenue comprises the fair value of the consideration received or receivable for the sale of goods and services in the ordinary course of the company's activities.

Revenue is measured at fair value of the consideration received or receivable net of trade discounts, income related taxes collected on behalf of the government.

The company recognises revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the company and when specific criteria have been met for each of the company's activities as described below.

Revenue is recognised as follows:

- (i) Revenue from sale of goods and services is recognised upon transfer of goods or performance of service and customer acceptance thereof in accordance with the sale contract.
- (ii) Revenue from letting is recognised as and when the rent for the period of tenancy becomes due.
- (iii) Dividend income from investments is recognised when the shareholders' rights to receive payment have been established.
- (iv) Interest income is accrued on a time basis, by reference to the principal outstanding and the interest rate applicable.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

d) Cost of sales

Contract costs comprise:

- costs that relate directly to the specific contract;
- costs that are attributable to contract activity in general and can be allocated to the contract; and
- such other costs as are specifically chargeable to the customer under the terms of the contract.

When inventories are sold, the carrying amount of those inventories is recognized as an expense in the period in which the related revenue is recognized. The amount of any write-down of inventories to net realizable value and all losses of inventories are recognized as an expense in the period the write-down or loss occurs.

The amount of any reversal of any write-down of inventories, arising from an increase in net realizable value, is recognized as a reduction in the amount of inventories recognized as an expense in the period in which the reversal occurs.

The related cost of providing services recognized as revenue in the current period is included in cost of sales.

e) Property, plant and equipment

The cost of an item of property, plant and equipment is recognized as an asset when it is probable that future economic benefits associated with the item will flow to the group; and the cost of the item can be measured reliably.

Property, plant and equipment is initially measured at cost. Costs include costs incurred initially to acquire or construct an item of property, plant and equipment and costs incurred subsequently to add to, replace part of, or service it.

If a replacement cost is recognized in the carrying amount of an item of property, plant and equipment, the carrying amount of the replaced part is de-recognized.

Property, plant and equipment, with the exception of land and buildings is carried at cost less accumulated depreciation and any impairment losses. Land and buildings are stated at fair value less accumulated depreciation and any impairment loss. They are revalued with sufficient regularity so that their carrying amounts do not materially differ from their realizable values.

Revaluation surplus is regarded as non-distributable until the property is disposed of. On disposal, the net revaluation surplus is transferred to retained earnings while profit or loss on disposal based on current values are credited or charged to profit or loss.

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS (Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

e) Property, plant and equipment (Continued)

Item average useful life

|                     |                 |
|---------------------|-----------------|
| Land                | Not anticipated |
| Buildings           | 45 years        |
| Plant and machinery | 7 years         |
| fittings and        | 7 years         |
| hardware            | 3 years         |
| Motor vehicles      | 4 years         |
| Computer software   | 3 years         |

The residual value and the useful life of each asset are reviewed at each financial period end. Each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item is depreciated separately.

The depreciation charge for each period is recognized in profit and loss unless it is included in the carrying amount of another asset.

The gains or loss arising from the de-recognition of an item of property, plant and equipment is included in profit or loss when the item is de-recognized.

The gain or loss arising from de-recognition of an item of property, plant and equipment is determined as the difference between net disposal proceeds, if any and the carrying amount of the item.

f) Intangible assets and goodwill

An intangible asset is recognized when it is probable that the expected future economic benefits that are attributable to the asset will flow to the company and the cost of the asset can be measured reliably.

Intangible assets are initially recognized at cost. Intangible assets are carried at cost less any accumulated amortization and any impairment losses.

The amortization period and the amortization method for the intangible assets are reviewed every year end.

Internally generated brands, mastheads, publishing titles, customer lists and items similar in substance are not recognized as intangible assets.

The amortization is provided to write down the intangible assets, on a straight-line basis, to their residual values.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

f) Intangible assets and goodwill (Continued)

Goodwill

Goodwill represents the excess of the aggregate of the fair value of compensation transferred, the acquisition date fair value of any previously held interest and any non-controlling interest over fair value of assets and liabilities acquired.

Goodwill on acquisitions of subsidiaries is included in intangible assets. Goodwill on acquisitions of associates is included in investment in associates.

Goodwill is tested annually for impairment and carried at cost less accumulated impairment losses. Impairment losses on goodwill are not reversed. Gains and losses on disposal of an entity include the carrying amount of goodwill relating to the entity sold. Any negative goodwill arising from an acquisition is credited to the statement of comprehensive income.

Goodwill is allocated to cash-generating units for the purpose of impairment testing. The allocation is made to those cash-generating units or groups of cash-generating units that are expected to benefit from the business combination in which the goodwill arose identified according to operating segment.

g) Investments in subsidiaries

Investments in subsidiaries are carried at cost less any accumulated impairment. The cost of an investment in a subsidiary is the aggregate of:

- The fair value, at the date of exchange, of assets given, liabilities incurred or assumed, and equity instruments issued by the group; plus
- Any costs directly attributable to the purchase of the subsidiary.

An adjustment to the cost of a business combination contingent on future events is included in the cost of the combination if the adjustment is probable and can be measured reliably.

h) Payables

Trade payables are obligations on the basis of normal credit terms and do not bear interest.



## 2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

### i) Subsidiaries

Subsidiaries are all entities (including structured and special purpose entities) over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The acquisition method of accounting is used to account for business combinations by the Group.

Intercompany transactions, balances and unrealized gains on transactions between Group companies are eliminated. Unrealized losses are also eliminated unless the transaction provides evidence of an impairment of the transferred asset. Where necessary, adjustments are made to the financial statements of subsidiaries to align any difference in accounting policies with those of the Group.

Non-controlling interests in the results and equity of subsidiaries are shown separately in the consolidated statement of comprehensive income, statement of changes in equity and statement of financial position.

#### *Changes in ownership interests in subsidiaries without change of control*

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposal to non-controlling interest are also recorded in equity.

#### *Disposal of subsidiaries*

When a Group ceases to have control, any retained interest in the equity is re-measured to its fair value at the date when control is lost, with the changed in carrying amount of recognized in profit or loss.

The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial assets. In addition, any amounts previously recognized in other comprehensive income in respect of other entity are accounted for as if the Group had directly disposed of the related assets and liabilities.

This may mean that amounts previously recognized in other comprehensive income are reclassified to profit or loss.

### j) Receivables

Receivables are amounts due from investments in the ordinary course of business. If collection is expected in one year or less (or in the normal operating cycle of the business if longer), they are classified as current assets. If not, they are presented as non-current assets.

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS (Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

k) Financial assets

Classification

The company classifies its financial assets in the following categories: loans and receivables and available-for-sale financial assets. The classification depends on the purpose for which the financial assets were acquired. The directors determine the classification of financial assets at initial recognition.

Classification depends on the purpose for which the financial instruments were obtained/incurred and takes place at initial recognition. Classification is re-assessed on an annual basis, except for derivatives and financial assets designated as at fair value through profit or loss, which shall not be classified out of the fair value through profit or loss category.

Initial recognition and measurement

Financial instruments are recognized initially when the group becomes a party to the contractual provisions of the instruments. The group classifies financial instruments, or their component parts, on initial recognition as a financial asset, a financial liability or an equity instrument in accordance with the substance of the contractual arrangement.

Subsequent measurement

Financial instruments at fair value through profit or loss are subsequently measured at fair value, with gains and losses arising from changes in fair value being included in profit or loss for the period.

Net gains or losses on the financial instruments at fair value through profit or loss Dividend income is recognized in profit or loss as part of other income when the group's right to receive payment is established. Loans and receivables are subsequently measured at amortized cost, using the effective interest method, less accumulated impairment losses. Financial liabilities at amortized cost are subsequently measured at amortized cost, using the effective interest method.

Fair value determination

The fair values of quoted investments are based on current bid prices. If the market for a financial asset is not active (and for unlisted securities), the group establishes fair value by using valuation techniques. These include the use of recent arm's length transactions, reference to other instruments that are substantially the same, discounted cash flow analysis, and option pricing models making maximum use of market inputs and relying as little as possible on entity-specific inputs.

(i) Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They are included in current assets, except for maturities greater than 12 months after the end of the reporting period. These are classified as non-current assets and are carried at amortised cost.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

k) Financial assets (Continued)

(ii) Available-for-sale financial assets

Available-for-sale financial assets are non-derivative financial assets and are included in non-current assets unless the investment matures or the directors intend to dispose of the investments within 12 months of the end of the reporting period.

(iii) Held to maturity

Held to maturity financial assets are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity.

(iv) Financial assets at fair value through profit or loss

This category comprises two sub-categories: financial assets classified as held for trading, and financial assets designated by the company as at fair value through profit or loss upon initial recognition.

A financial asset is classified as held for trading if it is acquired or incurred principally for the purpose of selling or repurchasing it in the near term or if it is part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking.

The company designates certain financial assets upon initial recognition as at fair value through profit or loss (fair value option). This designation cannot subsequently be changed and can only be applied when the following conditions are met:

- the application of the fair value option reduces or eliminates an accounting mismatch that would otherwise arise or
- the financial assets are part of a portfolio of financial instruments which is risk managed and reported to senior management on a fair value basis or
- the financial assets consists of debt host and an embedded derivatives that must be separated.

Financial assets at fair value through profit or loss are carried at fair value. Purchases and sales of financial assets at fair value through profit or loss are recognized on trade-date, the date on which the company commits to purchase or sell the asset.

Fair value changes relating to financial assets designated at fair value through profit or loss are recognized in the statement of profit or loss in the year in which they arise.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

l) Impairment of financial assets

Assets carried at amortised cost

The company assesses at the end of each reporting period whether there is objective evidence that a financial asset or group of financial assets is impaired.

A financial asset or a group of financial assets is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

m) Share capital and share premium

Ordinary shares are classified as 'share capital' in equity. Any amounts received over and above the par value of the shares is classified as 'share premium' in equity.

n) Cash and cash equivalents

Cash and cash equivalents includes cash in hand, deposits held at call with banks, other short-term

o) Dividend distribution

Dividends payable to the company's shareholders are recognised as a liability in the company's financial statements in the period in which the dividends are approved by the company's shareholders. Proposed dividends are not accrued until they have been declared at a duly convened annual general meeting. Dividends approved after the statement of financial position are treated as an event after the statement of financial position date.

p) Provisions

Provisions are recognised when; the company has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to passage of time is recognised as interest expense.

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS (Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

q) Employee benefits

The cost of short-term employee benefits, (those payable within 12 months after the service is rendered, such as paid vacation leave and sick leave, bonuses, and non- monetary benefits such as medical care), are recognized in the period in which the service is rendered and are not discounted.

The expected cost of compensated absences is recognized as an expense as the employees render services that increase their entitlement or, in the case of non- accumulating absences, when the absence occurs.

The expected cost of profit sharing and bonus payments is recognized as an expense when there is a legal or constructive obligation to make such payments as a result of past performance.

r) Borrowings

Borrowings are initially recognized at the transaction price. Borrowings are subsequently stated at amortised cost. Interest expense is recognized on the basis of effective interest method and is included finance costs.

Borrowings are classified as current liabilities unless the company has an unconditional right to defer settlement for at least 12 months after the reporting date.

s) Foreign currency translation

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currency are recognized in the statement of comprehensive income. Foreign exchange gains and losses that relate to cash and cash equivalents are presented in the statement of comprehensive income within finance income or costs.

t) Income taxes

*Current tax*

The tax expense for the period comprises current and deferred income tax. Tax is recognised in the profit or loss except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of the tax enacted or substantively enacted at the reporting date. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

t) Income taxes (Continued)

*Deferred tax*

Deferred income tax is recognised, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying values in the financial statements. However, if the deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill; deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss.

Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted at the reporting date and are expected to apply when the related deferred income tax liability is settled. Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income taxes assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

u) Leases

Leases under which the Company is the lessee on the commencement date of each lease (excluding leases with a term, on commencement, of 12 months or less and leases for which the underlying asset is of low value) the company recognises a right-of-use asset and a lease liability.

The lease liability is measured at the present value of the lease payments that are not paid on that date. The lease payments include fixed payments, variable payments that depend on an index or a rate, amounts expected to be payable under residual value guarantees, and the exercise price of a purchase option if the Company is reasonably certain to exercise that option. The lease payments are discounted at the interest rate implicit in the lease. If that rate cannot be readily determined, the Company's incremental borrowing rate is used.

For leases that contain non-lease components, the Company allocates the consideration payable to the lease and non-lease components based on their relative stand-alone components. The right-of-use asset is initially measured at cost comprising the initial measurement of the lease incurred, and an estimate of the costs of restoring the underlying asset to the condition required under the terms of the lease. Subsequently the lease liability is measured at amortised cost, subject to remeasurement to reflect any reassessment, lease modifications, or revised fixed lease payments.

All right-of-use assets are subsequently measured at cost less accumulated depreciation and any accumulated impairment losses, adjusted for any remeasurement of the lease liability. Depreciation is calculated using the straight-line method to write down the cost of each asset to its residual value over its estimated useful life. If ownership of the underlying asset is not expected to pass to the Company at the end of the lease term, the estimated useful life would not exceed the lease term. (Increases in the carrying amount arising on revaluation are recognised in other comprehensive income and accumulated in equity under the heading of revaluation surplus). Decreases that offset previous increases of the same asset are recognised in other comprehensive income. All other decreases are charged to the profit and loss account.

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS (Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

u) Leases (Continued)

For leases with a term, on commencement, of 12 months or less and leases for which the underlying asset is of low value, the total lease payments are recognised in profit or loss on a straight-line basis over the period of lease.

*Leases under which the Company is the Lessor*

Leases of assets where a significant proportion of the risks and rewards of ownership are transferred to the lessee are classified as finance leases. All other leases are classified as operating leases. Payments received under operating leases are credited to the statement of comprehensive income on a straight line basis over the lease period.

v) Inventories

Inventories are measured at lower of cost and net realizable value.

Net realizable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale. The cost of inventories comprises of all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition.

The cost of inventories of items that are not ordinarily interchangeable and goods or services produced and segregated for specific projects is assigned using specific identification of the individual costs.

The costs of inventories is assigned using the formula. The same formula is used for all inventories having a similar nature and use.

When inventories are sold, the carrying amounts of those inventories are recognized as an expense in the period in which the related revenue is recognised. The amount of any write-down of inventories to net realizable value and all losses of inventories are recognised as an expense in the period the write-down or loss occurs. The amount of any reversal of any write-down of inventories, arising from an increase in net realizable value, are recognised as a reduction in the amount of inventories recognised as an expense in the period in which the reversal occurs.

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS (Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

3. CRITICAL ACCOUNTING ESTIMATES, JUDGEMENTS AND ESTIMATES

In the process of applying the company's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The key areas of judgement in applying the entities accounting policies are dealt with below:

(i) Impairment losses

At the end of each reporting period, the company reviews the carrying amounts of its financial assets to determine whether there is any indication that those assets have suffered an impairment loss. A financial asset or a group of financial assets is impaired and impairment losses are incurred if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss event') and that the loss event has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the cash generating unit to which the asset belongs.

(ii) Equipment and intangible assets

Critical estimates are made by the directors in determining rates for depreciation for equipment and amortization of intangible assets.

(iii) Income taxes

Significant estimates are required in determining the provision of income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provision in the period in which such determination is made.

(iv) Deferred tax

Deferred tax assets are recognized in respect of tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilized. Future taxable profits are estimated based on business plans which include estimates and assumptions regarding economic growth, interest, inflation, taxation rates and competitive forces. Judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and level of future taxable profits, together with future tax planning strategies.



OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS (Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

3. CRITICAL ACCOUNTING ESTIMATES, JUDGEMENTS AND ESTIMATES (Continued)

(v) Going concern

The company's management has made an assessment of the company's ability to continue as a going concern and is satisfied that the company has the resources to continue in business for the foreseeable future. Furthermore, the management is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern. Therefore, the financial statements continue to be prepared on a going concern basis.

(vi) Fair value of financial instruments

Where the fair value of the financial assets and financial liabilities recorded in the statement of financial position cannot be determined from active markets, they are determined using valuation techniques including discounted cash flow models. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgment is required in establishing fair values. The judgments include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS(Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

|                                 | Group          |                | Company       |               |
|---------------------------------|----------------|----------------|---------------|---------------|
|                                 | 2024           | 2023           | 2024          | 2023          |
|                                 | KShs           | KShs           | KShs          | KShs          |
|                                 | 000's          | 000's          | 000's         | 000's         |
| <b>3. REVENUE</b>               |                |                |               |               |
| Sale of goods and services      | <u>545,891</u> | <u>494,463</u> | <u>-</u>      | <u>-</u>      |
| <b>4. COST OF SALES</b>         |                |                |               |               |
| Cost of goods sold              | <u>373,953</u> | <u>340,992</u> | <u>-</u>      | <u>-</u>      |
| <b>5. OTHER INCOME</b>          |                |                |               |               |
| Rental income                   | 77,304         | 68,996         | 4,858         | -             |
| Fair value gain                 | 5,000          | 6,784          | -             | -             |
| Management fees                 | 17,258         | 15,558         | 17,258        | 15,558        |
| Sundry income                   | 3,728          | 11,359         | -             | -             |
| Dividend income                 | -              | 660            | 4,597         | 14,451        |
| Interest income                 | <u>1,386</u>   | <u>1,460</u>   | <u>30</u>     | <u>13</u>     |
|                                 | <u>104,676</u> | <u>104,817</u> | <u>26,742</u> | <u>30,022</u> |
| <b>6. OPERATING COSTS</b>       |                |                |               |               |
| Staff costs Note 6 (i)          | 68,443         | 64,346         | 15,727        | 9,510         |
| Bad Debtors write off           | 755            | 626            | -             | -             |
| Telephone, postage & internet   | 354            | 473            | 82            | 114           |
| Repairs and maintenance         | 6,030          | 8,193          | 106           | 3             |
| Legal and professional fees     | 3,115          | 7,162          | 758           | 84            |
| Annual listing fees             | 200            | 200            | 200           | 200           |
| Rent and rates                  | 1,249          | 933            | -             | -             |
| Cleaning and garbage collection | 1,047          | 1,093          | -             | -             |
| Audit fees                      | 3,962          | 4,000          | 600           | 717           |
| Depreciation & amortization     | 22,807         | 23,102         | 55            | 4             |
| Directors emoluments            | 1,783          | 1,618          | 599           | 564           |
| Registry and secretarial fees   | 499            | 521            | 372           | 521           |
| Security                        | 2,192          | 3,194          | -             | -             |
| Licenses and subscriptions      | 204            | 220            | 70            | -             |
| Workshop expenses               | -              | 660            | -             | -             |
| General insurance               | 789            | 1,503          | -             | -             |
| Electricity and water           | 7,718          | 4,296          | -             | -             |
| Management fees                 | 17,320         | 14,948         | -             | -             |

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS(Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

|                                                  | Group          |                | Company       |               |
|--------------------------------------------------|----------------|----------------|---------------|---------------|
|                                                  | 2024           | 2023           | 2024          | 2023          |
|                                                  | KShs           | KShs           | KShs          | KShs          |
|                                                  | 000's          | 000's          | 000's         | 000's         |
| 6. OPERATING COSTS (Continued)                   |                |                |               |               |
| Advertising and marketing                        | 1,223          | 1,757          | 570           | 907           |
| Motor vehicle running                            | -              | 769            | -             | -             |
| Travelling and entertainment                     | 1,863          | 1,238          | 1,613         | 362           |
| Donations                                        | -              | 50             | -             | 50            |
| General expenses                                 | 71,371         | 59,098         | 241           | 117           |
| AGM expenses                                     | 235            | 104            | 235           | 104           |
| Printing and stationery                          | 158            | 509            | 32            | 48            |
| Market development/ tender costs                 | 58             | -              | 58            | -             |
|                                                  | <u>213,377</u> | <u>200,610</u> | <u>21,316</u> | <u>13,303</u> |
| (i) STAFF COSTS                                  |                |                |               |               |
| Salaries and wages                               | 66,464         | 61,949         | 14,367        | 9,013         |
| Training and recruitment                         | 732            | 628            | 668           | 44            |
| Medical expenses                                 | 292            | 1,399          | -             | 83            |
| Staff welfare                                    | 955            | 370            | 692           | 370           |
|                                                  | <u>68,443</u>  | <u>64,346</u>  | <u>15,727</u> | <u>9,510</u>  |
| 7. FINANCE COSTS                                 |                |                |               |               |
| Bank charges                                     | 327            | 426            | 153           | 44            |
| Finance charges                                  | 2,917          | 2,293          | -             | -             |
| Foreign exchange loss                            | 5,282          | 1,935          | -             | -             |
|                                                  | <u>8,526</u>   | <u>4,654</u>   | <u>153</u>    | <u>44</u>     |
| 8. PROFIT BEFORE TAXATION                        |                |                |               |               |
| Profit before taxation is stated after charging: |                |                |               |               |
| Auditors' remuneration                           | 3,962          | 4,000          | 600           | 717           |
| Directors remuneration                           | 1,783          | 1,618          | 599           | 564           |
| Finance charges                                  | 2,917          | 2,293          | -             | -             |
| Depreciation and amortization                    | <u>22,807</u>  | <u>23,102</u>  | <u>55</u>     | <u>4</u>      |
| And after crediting:                             |                |                |               |               |
| Interest income                                  | <u>1,386</u>   | <u>1,460</u>   | <u>30</u>     | <u>13</u>     |

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS (Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

9. PROPERTY, PLANT AND EQUIPMENT - GROUP

COST/ VALUATION:

|                         |          |         |         |         |         |       |     |          |
|-------------------------|----------|---------|---------|---------|---------|-------|-----|----------|
| As at 1 March 2023      | 770,708  | 158,063 | 16,987  | 24,238  | 15,600  | 5,631 | -   | 991,226  |
| Transfer to investments | -        | (1,684) | -       | -       | -       | -     | -   | (1,684)  |
| Additions               | -        | -       | 1,058   | 2,671   | 1,120   | -     | 212 | 5,062    |
| Disposal of subsidiary  | (75,000) | (569)   | (2,304) | (3,556) | (2,286) | -     | -   | (83,715) |
| As at 28 February 2024  | 695,708  | 156,378 | 15,741  | 23,353  | 14,434  | 5,631 | 212 | 910,889  |

DEPRECIATION:

|                        |         |        |         |         |         |       |    |         |
|------------------------|---------|--------|---------|---------|---------|-------|----|---------|
| As at 1 March 2023     | 65,267  | 86,766 | 11,121  | 20,932  | 11,592  | 2,866 | -  | 198,544 |
| Disposal of subsidiary | (1,406) | (569)  | (1,931) | (3,484) | (1,730) | -     | -  | (9,119) |
| Charge for the year    | 15,716  | 3,705  | 1,623   | 125     | 747     | 143   | 16 | 22,076  |
| As at 28 February 2024 | 79,577  | 89,902 | 10,813  | 17,573  | 10,609  | 3,009 | 16 | 211,501 |

NET BOOK VALUE:

|                        |         |        |       |       |       |       |     |         |
|------------------------|---------|--------|-------|-------|-------|-------|-----|---------|
| As at 28 February 2024 | 616,131 | 66,477 | 4,928 | 5,780 | 3,825 | 2,622 | 196 | 699,388 |
| As at 28 February 2023 | 705,441 | 71,297 | 5,866 | 3,305 | 4,008 | 2,765 | -   | 792,682 |

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS(Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

9. PROPERTY, PLANT AND EQUIPMENT - COMPANY

|                         | Office<br>equipment<br>KShs<br>000's | Furniture<br>& fittings<br>KShs<br>000's | Plant &<br>machinery<br>KShs<br>000's | Software<br>KShs<br>000's | Total<br>KShs<br>000's |
|-------------------------|--------------------------------------|------------------------------------------|---------------------------------------|---------------------------|------------------------|
| COST:                   |                                      |                                          |                                       |                           |                        |
| As at 1 March 2023      | 727                                  | 285                                      | 48,026                                | 283                       | 49,038                 |
| Transfer to investments | -                                    | -                                        | (1,684)                               | -                         | (1,684)                |
| Additions               | <u>98</u>                            | <u>40</u>                                | <u>-</u>                              | <u>212</u>                | <u>350</u>             |
| As at 28 February 2024  | <u>825</u>                           | <u>325</u>                               | <u>46,342</u>                         | <u>495</u>                | <u>47,704</u>          |
| DEPRECIATION:           |                                      |                                          |                                       |                           |                        |
| As at 1 March 2023      | 718                                  | 285                                      | -                                     | 283                       | 1,003                  |
| Charge for the year     | <u>32</u>                            | <u>7</u>                                 | <u>-</u>                              | <u>16</u>                 | <u>55</u>              |
| As at 28 February 2024  | <u>750</u>                           | <u>292</u>                               | <u>-</u>                              | <u>299</u>                | <u>1,058</u>           |
| NET BOOK VALUE:         |                                      |                                          |                                       |                           |                        |
| As at 28 February 2024  | <u>75</u>                            | <u>34</u>                                | <u>46,342</u>                         | <u>196</u>                | <u>46,646</u>          |
| As at 28 February 2023  | <u>9</u>                             | <u>-</u>                                 | <u>48,026</u>                         | <u>-</u>                  | <u>48,035</u>          |

No depreciation was charged on the plant and machinery as it is yet to be commissioned for use.

|                                         | Group                 |                       | Company               |                       |
|-----------------------------------------|-----------------------|-----------------------|-----------------------|-----------------------|
|                                         | 2024<br>KShs<br>000's | 2023<br>KShs<br>000's | 2024<br>KShs<br>000's | 2023<br>KShs<br>000's |
| 10. INVESTMENT PROPERTY                 |                       |                       |                       |                       |
| Balance as at the beginning of the year | 137,490               | 130,706               | -                     | -                     |
| Fair value gain                         | <u>5,000</u>          | <u>6,784</u>          | <u>-</u>              | <u>-</u>              |
| Balance as at 28 February               | <u>142,490</u>        | <u>137,490</u>        | <u>-</u>              | <u>-</u>              |

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS(Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

|                                            | Group         |               | Company  |          |
|--------------------------------------------|---------------|---------------|----------|----------|
|                                            | 2024          | 2023          | 2024     | 2023     |
|                                            | KShs          | KShs          | KShs     | KShs     |
|                                            | 000's         | 000's         | 000's    | 000's    |
| <b>11. PREPAID OPERATING LEASE RENTALS</b> |               |               |          |          |
| <b>COST:</b>                               |               |               |          |          |
| Balance as at the beginning of the year    | 40,750        | 40,750        | -        | -        |
| Disposal of subsidiary (note 14)           | (14)          | -             | -        | -        |
|                                            | <u>40,736</u> | <u>40,750</u> | <u>-</u> | <u>-</u> |
| <b>ARMORTIZATION:</b>                      |               |               |          |          |
| Balance as at the beginning of the year    | 21,003        | 20,272        | -        | -        |
| Disposal of subsidiary (note 14)           | (10)          | -             | -        | -        |
| Charge for the year                        | <u>731</u>    | <u>731</u>    | <u>-</u> | <u>-</u> |
| Balance as at 28 February                  | <u>21,724</u> | <u>21,003</u> | <u>-</u> | <u>-</u> |
| <b>NET BOOK VALUE:</b>                     |               |               |          |          |
| Balance as at 28 February                  | <u>19,012</u> | <u>19,747</u> | <u>-</u> | <u>-</u> |

Prepaid operating lease rentals comprise leasehold land held by Avon Rubber Company (Kenya) Limited and Mather and Platt (Kenya) Limited.

|                                         | Group         |               | Company  |          |
|-----------------------------------------|---------------|---------------|----------|----------|
|                                         | 2024          | 2023          | 2024     | 2023     |
|                                         | KShs          | KShs          | KShs     | KShs     |
|                                         | 000's         | 000's         | 000's    | 000's    |
| <b>12. INTANGIBLE ASSET</b>             |               |               |          |          |
| <b>COST:</b>                            |               |               |          |          |
| Balance as at the beginning of the year | <u>93,594</u> | <u>93,594</u> | <u>-</u> | <u>-</u> |
| <b>ARMORTIZATION:</b>                   |               |               |          |          |
| Balance as at 28 February               | <u>-</u>      | <u>-</u>      | <u>-</u> | <u>-</u> |
| <b>NET CARRYING AMOUNT:</b>             |               |               |          |          |
| Balance as at 28 February               | <u>93,594</u> | <u>93,594</u> | <u>-</u> | <u>-</u> |

This is in respect to goodwill. Goodwill arises on the acquisition of subsidiaries, associates, joint-controlled entities and on the separate purchase of businesses. The Group's and companies accounting policy is that goodwill is annually measured at cost less accumulated impairment losses.

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS(Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

13. EARNINGS PER SHARE

The calculation of basic earnings per share for the group as at 28 February 2024 was based on profit attributable to ordinary shareholders of KShs. 35.2 million (2023: KShs. 35.3 million) and weighted average number of shares outstanding during the year then ended of 40 million (2023: 40 million). There are no dilutive shares.

| Group |       | Company |       |
|-------|-------|---------|-------|
| 2024  | 2023  | 2024    | 2023  |
| KShs  | KShs  | KShs    | KShs  |
| 000's | 000's | 000's   | 000's |

14. INVESTMENTS IN SUBSIDIARIES

|                                     | Holding % |   |   |         |         |
|-------------------------------------|-----------|---|---|---------|---------|
| Dunlop Industries Limited           | 100       | - | - | 11,500  | 11,500  |
| Avon Rubber Company Kenya Limited   | 48        | - | - | 118,286 | 118,286 |
| Mather and Platt Kenya Limited      | 69        | - | - | -       | 47,711  |
| Olympia Capital Corporation Limited | 61        | - | - | 267,772 | 267,772 |
| Investment in subsidiary            | 100       | - | - | 58,261  | -       |
| Dunlex Adhesives Limited            | 100       | - | - | 4,531   | -       |
|                                     |           | - | - | 460,350 | 445,269 |

The Group's interest in the subsidiaries is as shown above. All subsidiaries are incorporated in Kenya except Olympia Capital Corporation (Pty) which is incorporated in Botswana.

Although the company holds less than 50% of the voting rights in Avon Rubber Company Kenya Limited, the investment is considered a subsidiary by virtue of effective board control.

During the year, the holding company relinquished all its equity in subsidiary Mather and Platt Kenya Limited through a buy off of shares by the investee company's minority shareholders. The company also acquired two new subsidiaries in which it holds 100% of the issued ordinary share capital.

The end of reporting period of Avon Rubber Company (Kenya) Limited, Dunlex Adhesives Limited and Olympia Capital Corporation (Pty) Limited was 31 December 2023. There were no significant changes that affect these subsidiaries' financial statements as at 28 February 2024 for consolidation purposes.

| Group |       | Company |       |
|-------|-------|---------|-------|
| 2024  | 2023  | 2024    | 2023  |
| KShs  | KShs  | KShs    | KShs  |
| 000's | 000's | 000's   | 000's |

15. NON-CURRENT ASSETS HELD FOR SALE

|                                    |       |       |   |   |
|------------------------------------|-------|-------|---|---|
| At the beginning & end of the year | 4,735 | 4,735 | - | - |
|------------------------------------|-------|-------|---|---|

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS(Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

|                                         | Group         |               | Company       |               |
|-----------------------------------------|---------------|---------------|---------------|---------------|
|                                         | 2024          | 2023          | 2024          | 2023          |
|                                         | KShs          | KShs          | KShs          | KShs          |
|                                         | 000's         | 000's         | 000's         | 000's         |
| 16. AVAILABLE-FOR-SALE FINANCIAL ASSETS |               |               |               |               |
| At the beginning of the year            | 49,700        | 49,700        | 49,700        | 49,700        |
| Changes in the year                     | -             | -             | -             | -             |
| At the end of the year                  | <u>49,700</u> | <u>49,700</u> | <u>49,700</u> | <u>49,700</u> |

This relates to investments in shares of Heri Limited.

17. RELATED PARTY TRANSACTIONS

(a) Due from related parties:

|                                     |                 |                |                |                |
|-------------------------------------|-----------------|----------------|----------------|----------------|
| Olympia Capital Corporation Limited | -               | -              | 549            | 549            |
| Scotlink Limited                    | 3,785           | 3,785          | 3,000          | 3,000          |
| Dunlop Properties Limited           | 24,327          | 24,327         | 22,788         | 22,788         |
| Mather and Platt                    | -               | -              | -              | 10,881         |
| Croxley Properties Limited          | 276             | 276            | -              | -              |
| Karen Enterprises Limited           | 6,081           | 4,157          | -              | -              |
| Mt. Kenya Investments               | 1,090           | 12             | -              | -              |
| Meatons Kenya Limited               | 6,593           | 6,593          | 6,593          | 6,593          |
| Dunlop Industries Limited           | 1,022           | 1,022          | -              | -              |
| Directors                           | <u>51,425</u>   | <u>52,425</u>  | <u>31,452</u>  | <u>31,452</u>  |
|                                     | 94,599          | 92,597         | 64,383         | 75,263         |
| Amount due in one year              | <u>(12,255)</u> | <u>(9,253)</u> | <u>(3,000)</u> | <u>(3,000)</u> |
| Amount due after one year           | <u>82,344</u>   | <u>83,344</u>  | <u>61,383</u>  | <u>72,263</u>  |

This is in relation to advances made to the related parties, the advances are unsecured.



OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS(Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

|                                            | Group          |                | Company        |                |
|--------------------------------------------|----------------|----------------|----------------|----------------|
|                                            | 2024           | 2023           | 2024           | 2023           |
|                                            | KShs           | KShs           | KShs           | KShs           |
|                                            | 000's          | 000's          | 000's          | 000's          |
| 17. RELATED PARTY TRANSACTIONS (Continued) |                |                |                |                |
| (b) Due to related parties:                |                |                |                |                |
| Croxley Properties Limited                 | 30             | 30             | 30             | 30             |
| Avon Rubber Company Kenya Limited          | -              | -              | 40,180         | 41,768         |
| Mount Kenya Investment                     | 300            | 300            | 300            | 300            |
| Directors                                  | 6,814          | 8,841          | 5,634          | 5,645          |
|                                            | <u>7,144</u>   | <u>9,171</u>   | <u>46,144</u>  | <u>47,743</u>  |
| Amount due in one year                     | <u>(6,814)</u> | <u>(8,841)</u> | <u>(5,634)</u> | <u>(5,645)</u> |
| Amount due after one year                  | <u>330</u>     | <u>330</u>     | <u>40,510</u>  | <u>42,098</u>  |

This is in relation to advances received from the related parties.

18. BANK AND CASH BALANCES

|                          |                 |                 |              |              |
|--------------------------|-----------------|-----------------|--------------|--------------|
| Cash and bank balances   | 57,074          | 73,413          | 2,700        | 3,221        |
| Bank overdraft (note 23) | <u>(16,172)</u> | <u>(14,160)</u> | <u>-</u>     | <u>-</u>     |
|                          | <u>40,902</u>   | <u>59,253</u>   | <u>2,700</u> | <u>3,221</u> |

19. TRADE AND OTHER RECEIVABLES

|                   |                |                |              |              |
|-------------------|----------------|----------------|--------------|--------------|
| Trade receivables | 82,255         | 73,866         | -            | -            |
| Other receivables | <u>29,674</u>  | <u>40,287</u>  | <u>6,280</u> | <u>4,881</u> |
|                   | <u>111,929</u> | <u>114,153</u> | <u>6,280</u> | <u>4,881</u> |

20. OTHER FINANCIAL ASSETS

|                  |              |              |          |          |
|------------------|--------------|--------------|----------|----------|
| Held to maturity | <u>4,567</u> | <u>2,702</u> | <u>-</u> | <u>-</u> |
|------------------|--------------|--------------|----------|----------|

This is in respect to short term investments held to maturity.

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS(Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

|                               | Group          |                | Company  |          |
|-------------------------------|----------------|----------------|----------|----------|
|                               | 2024           | 2023           | 2024     | 2023     |
|                               | KShs           | KShs           | KShs     | KShs     |
|                               | 000's          | 000's          | 000's    | 000's    |
| 21. INVENTORIES               |                |                |          |          |
| Finished goods                | 145,270        | 131,251        | -        | -        |
| Provision for obsolete stocks | -              | (8,841)        | -        | -        |
| Net finished goods            | 145,270        | 122,410        | -        | -        |
| Work-in-progress              | -              | 3,631          | -        | -        |
| Spares and consumables        | 19,008         | 13,351         | -        | -        |
|                               | <u>164,278</u> | <u>139,392</u> | <u>-</u> | <u>-</u> |

22. SHARE CAPITAL AND SHARE PREMIUM

a) Share capital:

Authorised, issued and fully paid:

|                                             |                |                |                |                |
|---------------------------------------------|----------------|----------------|----------------|----------------|
| 40,000,000 ordinary shares of KShs. 5 each. | <u>200,000</u> | <u>200,000</u> | <u>200,000</u> | <u>200,000</u> |
|---------------------------------------------|----------------|----------------|----------------|----------------|

b) Share premium:

This relates to any amounts received in excess of the par value of the shares during any offer for subscription to shareholders.

|                               | Group           |                 | Company  |          |
|-------------------------------|-----------------|-----------------|----------|----------|
|                               | 2024            | 2023            | 2024     | 2023     |
|                               | KShs            | KShs            | KShs     | KShs     |
|                               | 000's           | 000's           | 000's    | 000's    |
| 23. BORROWINGS                |                 |                 |          |          |
| Absa Bank Kenya PLC           | -               | 4,701           | -        | -        |
| Stanbic Bank Botswana Limited | 15,578          | 18,752          | -        | -        |
| Bank overdrafts               | <u>16,172</u>   | <u>14,160</u>   | <u>-</u> | <u>-</u> |
|                               | 31,750          | 37,613          | -        | -        |
| Amount due in one year        | <u>(23,072)</u> | <u>(24,434)</u> | <u>-</u> | <u>-</u> |
| Amount due after one year     | <u>8,679</u>    | <u>13,179</u>   | <u>-</u> | <u>-</u> |

The loan from Absa Bank Kenya PLC to Avon Rubber Company (Kenya) Limited was a one year asset financing facility for the purchase of equipment and was secured by the asset financed.

Stanbic Bank Botswana loan is advanced to Olympia Capital Corporation Limited for purchase an investment property. The loan is for 10 years and is secured by a mortgage over property.

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS(Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

23. BORROWINGS (Continued)

Bank overdraft facility for Olympia Capital Corporation limited is with Access Bank Botswana Limited. The facility is pledged against property.

| Group |       | Company |       |
|-------|-------|---------|-------|
| 2024  | 2023  | 2024    | 2023  |
| KShs  | KShs  | KShs    | KShs  |
| 000's | 000's | 000's   | 000's |

24. TRADE AND OTHER PAYABLES

|                 |               |               |              |              |
|-----------------|---------------|---------------|--------------|--------------|
| Trade creditors | 16,847        | 54,688        | 1,423        | 1,464        |
| Other payables  | 29,754        | 33,669        | 2,661        | 2,604        |
|                 | <u>46,601</u> | <u>88,357</u> | <u>4,084</u> | <u>4,068</u> |

Trade payables are non-interest bearing and are normally settled on 30 to 90 days. Other payables are non-interest bearing.

| Group |       | Company |       |
|-------|-------|---------|-------|
| 2024  | 2023  | 2024    | 2023  |
| KShs  | KShs  | KShs    | KShs  |
| 000's | 000's | 000's   | 000's |

25. DIVIDENDS

|                                         |                |                 |              |              |
|-----------------------------------------|----------------|-----------------|--------------|--------------|
| Balance as at the beginning of the year | 10,836         | 5,224           | 5,224        | 5,224        |
| Final dividend declared                 | 5,200          | 16,209          | -            | -            |
| Dividends paid                          | <u>(5,179)</u> | <u>(10,597)</u> | <u>-</u>     | <u>-</u>     |
| Balance as at 28 February               | <u>10,857</u>  | <u>10,836</u>   | <u>5,224</u> | <u>5,224</u> |

The Board of directors monitors the ability of the Group to pay dividends out of available cash and distributable profits. At the current performance, the group is not able to pay dividends.

| Group |       | Company |       |
|-------|-------|---------|-------|
| 2024  | 2023  | 2024    | 2023  |
| KShs  | KShs  | KShs    | KShs  |
| 000's | 000's | 000's   | 000's |

26. TAXATION

Statement of financial position:

|                                      |                 |                |          |          |
|--------------------------------------|-----------------|----------------|----------|----------|
| Balance brought forward              | (6,431)         | 504            | -        | 14,139   |
| Tax overprovision in the prior years | -               | (14,139)       | -        | (14,139) |
| Tax charge for the year              | 18,618          | 15,834         | -        | -        |
| Tax paid                             | <u>(10,588)</u> | <u>(8,630)</u> | <u>-</u> | <u>-</u> |
|                                      | <u>1,599</u>    | <u>(6,431)</u> | <u>-</u> | <u>-</u> |

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS(Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

|                                         | Group         |                 | Company  |              |
|-----------------------------------------|---------------|-----------------|----------|--------------|
|                                         | 2024          | 2023            | 2024     | 2023         |
|                                         | KShs          | KShs            | KShs     | KShs         |
|                                         | 000's         | 000's           | 000's    | 000's        |
| 26. TAXATION (Continued)                |               |                 |          |              |
| Statement of comprehensive income:      |               |                 |          |              |
| Current tax for the year                | 18,618        | 15,834          | -        | -            |
| Deferred tax                            | 879           | 1,876           | -        | -            |
|                                         | <u>19,497</u> | <u>17,710</u>   | <u>-</u> | <u>-</u>     |
| Deferred tax assets:                    |               |                 |          |              |
| Opening balance                         | (18,884)      | (18,927)        | -        | 2,983        |
| Statement of other comprehensive income | 18,884        | 43              | -        | -            |
|                                         | <u>-</u>      | <u>(18,884)</u> | <u>-</u> | <u>2,983</u> |
| Deferred tax liabilities:               |               |                 |          |              |
| Opening balance                         | 34,499        | 32,666          | -        | -            |
| Statement of comprehensive income       | 879           | 1,833           | -        | -            |
|                                         | <u>35,378</u> | <u>34,499</u>   | <u>-</u> | <u>-</u>     |

27. RISK MANAGEMENT

Financial risk management

The company's activities expose it to a variety of financial risks: market risk (including currency risk, fair value interest rate risk, cash flow interest rate risk and price risk), credit risk and liquidity risk. The company's overall risk management program focuses on the unpredictability of financial markets and seeks to minimize potential adverse effects on the company's financial performance.

Liquidity risk

Prudent liquidity risk management implies maintaining sufficient cash and marketable securities, the availability of funding through an adequate amount of committed credit facilities and the ability to close out market positions. Due to the dynamic nature of the underlying businesses, group treasury maintains flexibility in funding by maintaining availability under committed credit lines.

The company's risk to liquidity is as result of the funds available to cover the future commitments; the company manages liquidity risk through an ongoing review of future commitments and credit facilities. Cash flow forecasts are prepared and adequate utilized borrowing facilities are monitored.

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS(Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

27. RISK MANAGEMENT (Continued)

Interest rate risk

As the company has no significant interest-bearing assets, the company's income and operating cash flows are substantially independent of changes in market interest rates.

The company's interest rate risk arises from short- term and long-term borrowings. Borrowings issued at variable rates expose the company to cash flow interest rate risk. Borrowings issued at fixed rates expose the company to fair value interest rate risk.

Credit risk

Credit risk is managed on a company basis. Credit risk consists mainly of cash deposits, cash equivalents, derivative financial instruments and trade debtors. The company only deposits cash with major banks with high quality credit standing and limits exposure to any one counter party.

Trade receivables comprise a widespread customer base. Management evaluates credit risk relating to customers on an ongoing basis. Management assesses the credit quality of the customer, taking into account its financial position, past experience and other factors. Individual risk limits are set based in accordance with limits set by the Board. The utilization of credit limits is regularly monitored. Sales to retail customers are settled in cash or using major credit cards.

Foreign exchange risk

The company has certain investments in foreign operations, whose net assets are exposed to foreign currency translation risk. Currency exposure arising from the net assets of the company's foreign operations is managed primarily through borrowings denominated in the relevant foreign currencies.

Capital risk management

The company's objectives when managing capital are to safeguard the company's ability to continue as a going concern in order to provide returns for shareholders and benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of capital. The capital structure of the company consists of debt, which includes the borrowings, cash and cash equivalents, and equity as disclosed in the statement of financial position. Consistent with others in the industry, the company monitors capital on the basis of the gearing ratio.

This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings (including 'current and non-current borrowings' as shown in the statement of financial position) less cash and cash equivalents. Total capital is calculated as 'equity' as shown in the statement of financial position plus net debt.

There are no externally imposed capital requirements.

There have been no changes to what the entity manages as capital, the strategy for capital maintenance or externally imposed capital requirements from the previous year.

OLYMPIA CAPITAL HOLDINGS LIMITED  
NOTES TO THE FINANCIAL STATEMENTS(Continued)  
FOR THE YEAR ENDED 28 FEBRUARY 2024

28. COMPARATIVES

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year. The prior year adjustments relates to write offs of previous years provisions through equity.

29. CONTINGENCIES

There are no known material contingent assets and/or liabilities for the group as at year end.

30. EVENTS AFTER THE END OF REPORTING PERIOD

No events have occurred after the end of the reporting period that would have a negative impact on the financial statements and/ or operations of the company.